

bigger technology companies began cutting back on staff late in 2023. For those who had been erroneously forecasting an imminent recession, this was manna from heaven. The long-awaited contraction was finally here!

Only, not so much.

The details reveal this spate of layoffs is yet another example of denominator blindness.

Let's start by looking at the actual layoffs relative to the recent hires of the prior two years:

Company	Layoffs	Recent Hires (2021–23)
Amazon	18,000	746,000
Google	12,000	67,800
Meta	11,000	42,372
Microsoft	10,000	77,000
Salesforce	7,000	30,824
Spotify	590	5,403
Apple	0	95,102

Note these layoffs are small relative to recent hires (our first denominator). Out of over a million recent hires, about 5.5% were being laid off. It's reasonable to assume that one out of every 20 new hires do not work out.

But this is not the total employee headcount for these companies—just recent hires. If we consider the total employment of these seven companies, you get about 2.25 million employees. That puts this spate of layoffs closer to 2.6%.

Last, consider one more denominator: The entire US workforce of 160 million workers.^{[130](#)} Sam Ro^{[131](#)} points out technology employment is barely 3% of that group, or about 4.8 million employees. Why are we focusing our attention on 60,000 layoffs out of 4.8 million tech employees out of 160